Identity vs. resource policies

IAM policies come in two types. *Identity policies* are attached to users, groups, or roles. *Resource policies* are attached to resources. Very few resource types support resource policies. One common example is the S3 bucket policy attached to S3 buckets.

If a policy contains the property `Principal`, it is a resource policy. The `Principal` defines who is allowed to perform the action. Keep in mind that the principal can be set to public.

The following identity policy has one statement that allows every action for the EC2 service, for all resources:

```
{
  "Version": "2012-10-17",    ①
  "Statement": [{
    "Effect": "Allow",        ②
    "Action": "ec2:*",        ③
    "Resource": "*"           ④
  }]
}
```

① Specifies 2012-10-17 to lock down the version

② This statement allows access to actions and resources.

③ Any action offered by the EC2 service (wildcard *)...

④ ...on any resource

If you have multiple statements that apply to the same action, `Deny` overrides `Allow`. The following identity policy allows all EC2 actions except terminating EC2 instances:

```
{
   "Version": "2012-10-17",
   "Statement": [{
```